

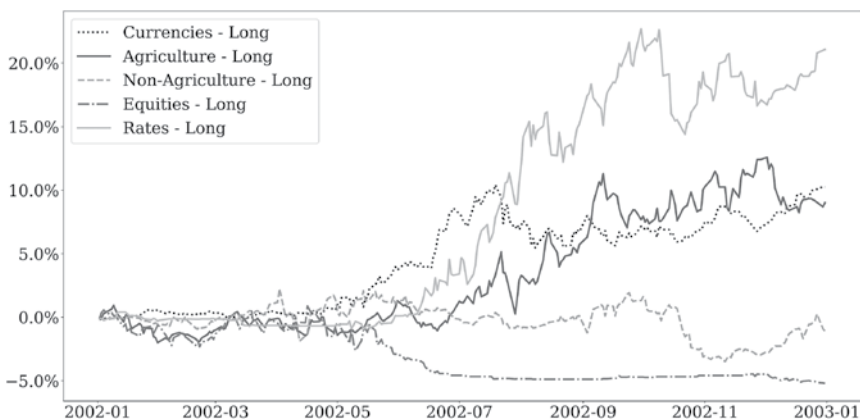


FIGURE 6.4 Long sector performance 2002.

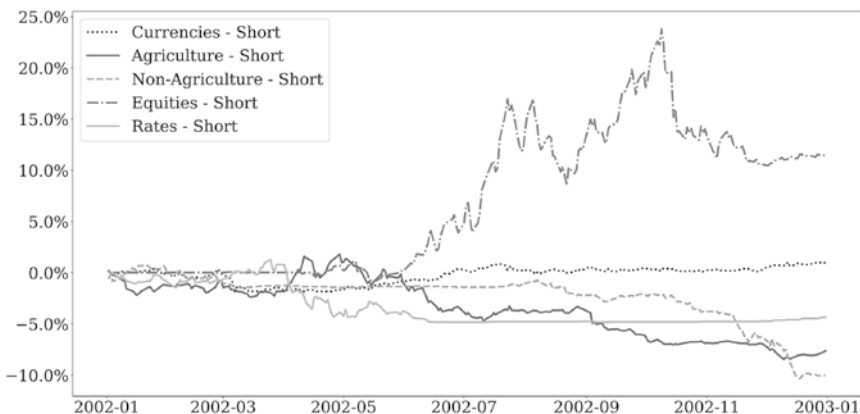


FIGURE 6.5 Short sector performance 2002.

market, it shouldn't come as a surprise that the hero performer here is short equities.

As we saw in the MSCI World earlier, the bear market took a bit of a pause early in the year, and continued down in the second half. Once it really took off on the downside, the strategy was fully loaded on the short side and positioned to take advantage of the steep declines that followed.

What we see in Figure 6.6 is exactly what we like to see in this business. A nice, smooth multi-month trend followed by an orderly correct and termination of the trend. This is just the kind of situation which our trend model is set up to profit from. In this case, our model went long early in the year on the initial breakout. It was a little slow to begin with, but as no stops